

CASE ID: 201905710002a

**EPISODE NAME:** List 4 Retaliation

2019/05/17 - Ongoing

Sender: China (710)

Target: United States (2)

Issue: Retaliation (16)

Final Outcome: Ongoing

**Summary:**

On 2019/05/17, China threatened the United States with retaliatory tariffs in response to the USTR's release of a proposal to tax \$300 billion worth of Chinese imports. On 2019/09/01, China imposed \$75 billion worth of tariffs on American imports in response to the United States imposing its tariff package, with plans to impose additional levies on 2019/12/15. Although the 2010/01 Phase One Agreement meant that the additional tariffs were never imposed, the earlier measures are still in place.

**Narrative:**

On 2019/05/17, China threatened the United States with retaliatory tariffs after the United States Trade Representative released a provisional tariff list including \$300 billion worth of Chinese products.<sup>1</sup> The Chinese Ministry of Commerce issued the threat, saying China would take "all necessary measures" to protect Chinese business.<sup>2</sup>

A second round of threats began on 2019/08/01, when US President Donald Trump said he could raise 25% tariffs on the \$300 billion worth of products.<sup>3</sup> China responded again by saying it would take all necessary countermeasures on 2019/08/02.<sup>4</sup>

After the US released its final tariff list on 2019/08/23, China announced retaliatory tariffs on \$75 billion worth of US imports the same day.<sup>5</sup> The tariffed products included soybeans, beef, pork and crude oil, and a reinstated tariff on US-made cars.<sup>6</sup>

---

<sup>1</sup> Jing, Shuiyu. "Commerce ministry calls on US to stop tariff plans." *China Daily*, 17 May 2019.

<https://www.chinadaily.com.cn/a/201905/17/WS5cddf32fa3104842260bc23a.html>

<sup>2</sup> Ibid.

<sup>3</sup> Higgins, Tucker. "Trump says he could raise tariffs on \$300 billion of Chinese goods above 25%." *CNBC*, 1 Aug. 2019.

<https://www.cnbc.com/2019/08/01/trump-says-he-could-lift-tariffs-higher-than-25percent-on-300-billion-in-chinese-goods.html>

<sup>4</sup> "China warns of retaliation for Trump's planned tariff hike." *CBS News*, 2 Aug. 2019.

<https://www.cbsnews.com/news/new-china-tariffs-china-warns-of-retaliation-for-trumps-planned-tariff-hike/>

<sup>5</sup> Lee, Amanda and Owen Churchill. "China announces fresh tariffs on \$75 billion of U.S. products." *Politico*, 23 Aug. 2019. <https://www.politico.com/story/2019/08/23/china-tariffs-us-trade-1472541>

<sup>6</sup> Ibid.

On 2019/09/01, the same day the US imposed its tariffs, China imposed some of the announced tariffs but delayed other measures, in line with the US delays that aimed to avoid disrupting holiday shopping.<sup>78</sup>

The episode is part of a larger campaign of economic coercion that began on 2018/03/01, when the United States announced it would impose global steel and aluminum tariffs.<sup>9</sup> The two countries eventually traded four lists of tariffs.

The Phase One Agreement, signed 2020/01/15, reduced US tariff rates on the first group of list 4 tariffs to 7.5% and suspended the imposition of the planned later tariffs.<sup>10</sup> In return, China agreed to purchase \$200 billion in US exports.<sup>11</sup> These modified tariffs are still in place.

---

<sup>7</sup> “China puts \$75bn of retaliatory tariffs on US goods.” *The Guardian*, 23 Aug 2019.

<https://www.theguardian.com/world/2019/aug/23/china-puts-75bn-retaliatory-tariffs-us-goods-trade-war>.

<sup>8</sup> Basu, Zachary. “U.S. delays impending China tariffs on some products until December.” *Axios*, 13 Aug. 2019.

<https://www.axios.com/2019/08/13/trump-china-tariffs-delayed-december-christmas-holidays>

<sup>9</sup> Swanson, Ana. “Trump to Impose Sweeping Steel and Aluminum Tariffs.” *New York Times*, 1 March 2018.

<https://www.nytimes.com/2018/03/01/business/trump-tariffs.html>

<sup>10</sup> “What's the US-China Phase 1 trade deal signed in 2020?” *Reuters*, 20 Jan. 2020.

<https://www.reuters.com/world/whats-us-china-phase-1-trade-deal-signed-2020-2025-01-21/>

<sup>11</sup> *Ibid.*